(ii) Demerits of Centralized Filing:

1. Physical difficulties are caused when departments are located away from the filing room.

2. Leakage of information is possible since files are centrally placed.

3. Since there is no duplication of records there is a fear of losing records. Therefore, it is advisable to have a copy of each record in the respective departments file.

2. Decentralized Filing:

In this system files relating to different departments are kept in the respective departments. Decentralized filing is necessary for maintaining records of work-in-progress, such as unexecuted orders, unpaid bills etc. Further there are certain records which will be used only by certain departments, for e.g. Price quotation in the purchase department, blueprints and drawings in the engineering department. In every department a filing clerk does the filing work along with his other duties.

(i) Merits of Decentralized Filing: The disadvantages of centralized filing are the advantages of decentralized filing and vice versa.

1. It is more suitable where the information relating to a department is of confidential nature.

2. It is useful when departments are located far away from the filing department.

3. This system is useful when certain papers are relevant for one department only.

4. There may be delay in locating records under centralized filing. Decentralized filing is recommended in order to remove inconvenience likely to result if the records are not located on time.

(ii) Demerits of Decentralized Filing:

1. Expenses on filing are high, as it leads to duplication of space, equipment and supplies.

2. Since every department does its own filing work, appointment of filing clerk is not economical and feasible.

3. There will be lack of uniformity in the filing routines and equipment in different departments.

4. Departmental filing may create difficulties when a piece of paper is relevant to more than one department.

5.4.3. Types of Filing:

The important types or methods of modern filing are:

1. Horizontal or Flat Filing: Under this method the documents or letters are placed in a horizontal or flat position one on the top of another in order of date and the latest is on the top. The letters are filed along with their replies. These files come in a variety of folders. More important of horizontal files are discussed below:

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